CASCADIA ANALYTICS

INVESTMENT SCORECARD

BSX

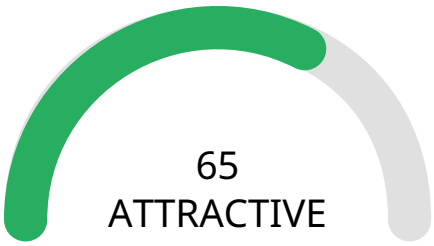
Boston Scientific Corporation (NYSE)

As-of: 28-Oct-2026 | Latest Filing: Q2 2026 (10-Q) | Currency: USD

$45.06 [27-Oct-26 close (manifest spot)]

Market Cap: $66.7B [27-Oct-26 close (manifest spot)]

Attractiveness Score



Confidence: **High** (0 pillars excluded)

Pillar Breakdown

1. Operating Quality — 80

Cardiovascular device leader with 69% gross margins, GAAP operating margins expanding 13.0% to 18.0% (FY22-25), ROE 19.3%, and conservative leverage (D/E 0.43). Scale, IP and physician relationships are a real moat.

2. Recent Trend — 55

Revenue grew 12.7B to 20.1B (FY22-25) but H1 2026 organic was 7% and H2 is pressured: WATCHMAN slowed sharply, EP lost US share, and management cut FY26 organic guidance to about 3.75%. Trend is bending, not breaking.

3. Forward Growth — 55

New COO and 3-segment structure in Jan 2027, plus double-digit growth in IC/ neuromodulation/oncology, support recovery. But WATCHMAN structural slowdown, EP competition and the cyber disruption cap near-term visibility.

4. Valuation — 76

DCF base $68.38 vs spot $45.06 implies +52% upside. Forward P/E 13.1x with PEG near 1.0 is cheap vs device peers and vs own history (near 52w low). Reverse DCF implies -0.7% CAGR, well below the 3% bear case.

5. Catalysts & Risk — 55

Oct 28 Q3 print with the revised outlook was the clearing event. Management change and pipeline cycles are positives, but the cyber incident extent is unknown

and guidance credibility is damaged. Skew is balanced near term.

Investment Thesis

- **Medtech Cash Compounder:** Cardiovascular device leader with 69% gross margins, GAAP operating margins expanding from 13.0% to 18.0% (FY22-25), ROE 19.3% and D/E of 0.43. Scale, IP and physician relationships form a genuine moat [10-K].
- **Air Pocket, Not a Broken Model:** Q2 delivered 7% organic growth and a 15% EPS beat [10-Q Q2 '26]. H2 pressure comes from WATCHMAN and EP share losses plus a September cyber incident, forcing FY26 guidance down to about 3.75% organic [Q3 '26 release]. Painful but identifiable.
- **+52% Upside With a Trigger:** At $45.06 [Mkt 27-Oct-26], DCF base $68.38 implies +52% upside and the reverse DCF prices -0.7% CAGR, below the 3% bear case. The Oct 28 Q3 reset cleared the old baseline and can rerate the name.

Key Operating Metrics

Metric	Latest	YoY Change	3Y Trend
Revenue (Q2 '26)	$5.44B [10-Q Q2 '26]	+7.5% (7% organic) [10-Q Q2 '26]	Up
Adj EPS (Q2 '26)	$0.86 [10-Q Q2 '26]	+15% (beat $0.83 cons) [10-Q Q2 '26]	Up
Adj Op Margin (Q2 '26)	28.4% [10-Q Q2 '26]	+120 bps [10-Q Q2 '26]	Up
FY2026 Guide (cut)	~4.25% reported, ~3.75% organic, $3.16-3.18 EPS [Q3 '26 release]	Cut again at Q3 print [8-K guid]	Down
Latest reported quarter	$5.14B sales (+1.5%), $0.73 adj EPS [Q3 '26 release]	vs $0.75 prior year [Q3 '26 release]	Down
Sep 8 Disclosure	Cyber incident [8-K]	Guides cut again at Q3 print [8-K]	Down
Net Margin (TTM)	17.5% [10-Q Q2 '26]	+6 pts [10-Q Q2 '26]	Up
Consensus Price Target	$68.60 [Cons]	Moderate Buy [Cons]	Down

Historical Financial Trend

Metric	2022	2023	2024	2025	TTM
Revenue	$12.68B [10-K FY22]	$14.24B [10-K FY23]	$16.75B [10-K FY24]	$20.07B [10-K FY25]	$21.00B [Cons]
Gross Margin	68.8% [10-K FY22]	69.5% [10-K FY23]	68.6% [10-K FY24]	69.0% [10-K FY25]	69.2% [Cons]
Op Margin	13.0% [10-K FY22]	16.5% [10-K FY23]	15.5% [10-K FY24]	18.0% [10-K FY25]	19.8% [10-Q Q2 '26 (TTM)]

Valuation

Absolute (7/10)

Fwd P/E 13.1x [Mkt 17-Oct-26]
DCF Base $68.38 [DCF model]
PEG ~1.0 [Mkt 17-Oct-26]

+52% upside to the base case. A PEG near 1.0 is rare for a consistent double-digit EPS grower, though the cyber overhang earns the discount.

Versus Peers (6/8)

Large-cap device peers trade at higher multiples [Cons]

BSX screens cheap versus medtech peers despite a historically superior organic growth profile. The discount reflects near-term uncertainty, not structural decline.

Versus History (6/7)

Near 52w low $41.38 vs high $105.65 [Mkt 17-Oct-26]

Trading roughly 60% below its 52-week high after the guidance cut and cyber disclosure, at the low end of its historical multiple range.

Catalyst Timeline

28-Oct-2026 [8-K]
Q3 2026 Earnings + Revised Outlook (Two-Sided): Oct 28 reset print set the new baseline after the Sep 8 statement warned Q3 and FY guidance were unlikely to be met following the cyber incident. Q4 is guided to a sales decline and FY organic growth to about 3.75%.

Jan 2027 [8-K]
New COO + 3-Segment Structure (Positive): Joseph Fitzgerald takes over as COO; Interventional Therapies, Rhythm Solutions and

Top Risk Factors (Item 1A)

1. Cyber Incident Overhang: September 8 statement says Q3 and full-year guidance are unlikely to be met after the incident; the October 28 revision cut FY guidance to about 3.75% organic and guided a Q4 sales decline of 1-3%. [8-K]

2. WATCHMAN Structural Decline: The US WATCHMAN market slowed sharply and unexpectedly on compounding clinical evidence, shifting referral patterns. This was a core growth driver and may be structural, not cyclical. [8-K]

> MedSurg segments begin, designed to speed decisions.

> **2027** [8-K]
> Pipeline Acceleration (Positive): Interventional cardiology, neuromodulation and interventional oncology delivered double-digit growth in H1 2026; product cycles need to offset WATCHMAN/ EP pressure.

What Would Change Our Score

The Oct 28 Q3 print and revised outlook reset the baseline: if the cyber impact is contained and the new baseline is credible, Valuation and Trend rerate quickly. Another cut would drop Forward Growth and jeopardize the Buy rating.

3. EP Competitive Share Loss: Management did not anticipate the degree of competitive share movement in US electrophysiology. Share recapture is uncertain and expensive. [8-K]

Forward Growth Drivers

- Interventional cardiology, neuromodulation and interventional oncology delivered double-digit growth in H1 2026 [8-K]
- New COO (Joseph Fitzgerald) and 3-segment structure effective Jan 1, 2027 to speed decisions and improve capital allocation [8-K]
- 69% gross margins and 28.4% adjusted operating margins funding the pipeline and debt paydown [10-Q Q2 '26]

Missing / Modified Data Log

- ROIC not explicitly disclosed; used ROE 19.3% and margin trajectory qualitatively.
- TTM gross and operating margins from market data, tagged [Cons].

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